

A Cold Start: Recession Entry and the Purposes of Household Saving*

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Abstract

How do labor-market conditions at school leaving shape what households later save for? I link 4,120 Japanese women observed in 29 waves of the JPSC to the national job-openings ratio at predicted graduation. Moving from late-bubble to trough entry conditions predicts 4,750 yen more monthly saving among married women with complete saving reports, about 7 percent of the sample mean. Roughly 87 percent of this response is designated for family-common, child, or other purposes rather than either spouse. Adverse entry also predicts fewer durable purchases and more discouraged borrowing, consistent with a defensive financial posture. Among positive savers, spouse-designated shares fall, but the wife–husband split does not move precisely; the share pattern is therefore an amount-decomposition result, not evidence of a transfer between spouses. The allocation contrast is robust to cohort clustering and cohort-score HAC inference and is extreme among circular treatment rotations, although studentized rotations and within-year designs are less decisive. The results extend labor-market scarring from household balance sheets to the purposes attached to saving.

Keywords: household finance, labor-market entry, precautionary saving, saving purposes, Japan

JEL: D14, E21, E24, J12, J31

*The JPSC and JHPS/KHPS data were provided by the Panel Data Research Center at Keio University; the restricted prefecture file is used under its access terms. Replication code accompanies the paper; the survey data require application to the PDRC. An online appendix contains supplementary tables.

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1 Introduction

Entering the labor market in a recession can shape earnings and employment for years. Yet the consequences of a bad start need not end with the worker. Once households form, they can respond by changing not only how much they save, but also what those savings are intended to finance. Standard balance-sheet data reveal the first margin but rarely the second: deposits and securities are usually recorded for the household as a whole. This paper asks whether labor-market conditions at school leaving predict the later purposes of household saving.

I study this question in Japan, where synchronized graduate recruitment makes labor-market conditions at school leaving unusually consequential. The Japanese Panel Survey of Consumers (JPSC) follows 4,120 women over 29 annual waves and asks married respondents how much their household saved in September. It then divides the flow among five exhaustive designations: family-common, wife, husband, child, and other. I link each woman to the national job-openings-to-applicants ratio in the year she was predicted to leave school. The sample spans 39 graduation cohorts from 1974 to 2013, including Japan's Employment Ice Age.

The main takeaway is that adverse entry is associated with more later saving, concentrated outside the two spouse-designated categories. Moving from late-bubble to trough entry conditions predicts about 4,750 yen more monthly saving, or 7 percent of the sample mean, among married women with complete saving reports. Approximately 87 percent of that response appears in family-common, child, and other saving. Fewer durable purchases and more discouraged borrowing accompany the saving response, a pattern consistent with a defensive financial posture.

The amount decomposition changes the interpretation of the corresponding share result. Among positive savers, adverse entry predicts lower wife- and husband-designated shares because non-spouse saving expands more strongly. The wife-husband split itself is centered near zero and estimated with uncertainty. The evidence therefore concerns what households save for, rather than a transfer between spouses or a change in bargaining power.

I establish these findings in four steps. First, the national entry ratio predicts whether a woman begins her career in regular employment, the central divide in Japan's segmented labor market. Second, I estimate the complete five-purpose amount system with zeros retained. The direct contrast between non-spouse and spouse-designated saving is $-7,250$ yen per one-unit improvement in entry conditions, and the family-common component accounts for most of the difference. Third, I show that the spouse-share result follows from this numerator-denominator decomposition rather than from a precisely estimated movement between wife and husband designations. Fourth, I validate the survey labels

against individually reported financial assets and show that the saving response accompanies fewer durable purchases and greater discouraged borrowing.

The design compares 39 predicted graduation cohorts exposed to nonlinear movements in one persistent national series. Age and survey-wave effects absorb a linear cohort component, leaving causal interpretation conditional on the absence of correlated nonlinear cohort forces. The allocation contrast is precise under cohort clustering and cohort-score HAC inference and is the most extreme coefficient among circular rotations; studentized rotations are weaker. Within-year prefecture and education-tier designs have limited identifying variation and do not independently reproduce the national allocation contrast. I therefore interpret the estimates as a transparent national cohort reduced form, conditional on cohort comparability and realized marriage.

The paper makes three contributions. First, it adds a household response to the recession-entry literature, which documents persistent effects on careers, family formation, health, and wealth (Kahn, 2010; Oreopoulos et al., 2012; Schwandt and von Wachter, 2019; Genda et al., 2010; Kondo, 2024; Choi et al., 2020; Kawaguchi and Kondo, 2020). The outcome is not another balance-sheet total, but the purpose attached to a new flow of saving. This margin shows how a shock that predates the observed household can remain visible in the financial organization of that household.

Second, the paper connects labor-market scarring to purpose-specific saving. Work on saving motives treats household saving as differentiated rather than fully fungible (Horioka and Watanabe, 1997), while recent studies examine saving and portfolio responses to employment risk (Basten et al., 2016; Juelsrud and Wold, 2025; Derenoncourt et al., 2024; Malmendier and Shen, 2024). The exhaustive five-purpose accounting system makes it possible to separate a change in total saving from a change in its allocation and to show why a single share can be misleading.

Third, the paper contributes to the measurement of intrahousehold finance. Saving designated for the wife predicts her individually reported assets more strongly than family-common or husband-designated saving. This construct-validity evidence shows that respondents use the categories meaningfully while preserving the distinction between attribution and legal ownership. It therefore complements work on intrahousehold allocation without turning a survey label into a welfare measure or a Pareto weight (Lise and Yamada, 2019; Guo and Xie, 2026; Chiappori et al., 2024; Niimi, 2022; Gu et al., 2026; Belloc and Molina, 2026; Belloc et al., 2025; Yang et al., 2025).

The rest of the paper is organized as follows. Section 2 describes Japan's entry market, the JPSC, and the saving measures. Section 3 develops the accounting decomposition and empirical design. Section 4 presents the main results. Section 5 evaluates inference, alternative designs, and scope. The final section concludes.

2 Setting, data, and measurement

2.1 Graduate recruitment and entry exposure

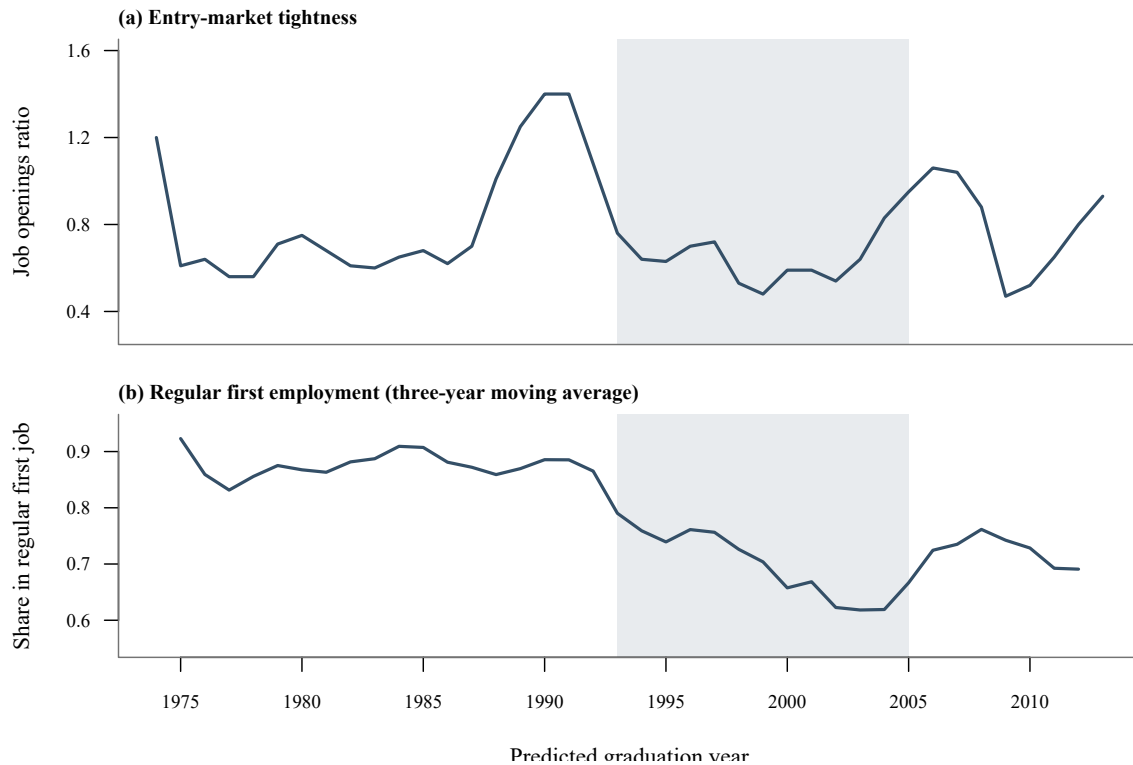
Japanese firms recruit new graduates through a synchronized annual market. Missing the regular-employment intake can have unusually persistent consequences because movement from nonregular to regular employment has historically been limited (Genda et al., 2010; Kondo, 2007; Hamaaki et al., 2013). The effective job-openings-to-applicants ratio fell from roughly 1.4 around 1990 to about 0.5 in 1999 and did not recover durably until the mid-2000s. Cohorts graduating from 1993 through 2005 are conventionally called the Employment Ice Age generation.

The treatment is the national effective job-openings-to-applicants ratio in a woman's predicted graduation year. Predicted graduation equals birth year plus the modal leaving age for the reported schooling tier: 15 for junior high school, 18 for high school, 20 for vocational or junior college, 22 for university, and 24 for graduate school. Prediction avoids conditioning on an actual completion date that could respond to the economy. It introduces measurement error: predicted and reported years coincide for 43 percent of women, and prediction is one year early for 41 percent. Adjacent treatment years correlate 0.84, and assigning the ratio at the predicted year, the following year, or their average produces similar national estimates.

The ratio is a broad Hello-Work measure and excludes the school-referral market for new graduates. I therefore interpret it as a macro indicator of entry tightness, rather than the literal queue each graduate faced. Graduate-specific and channel-matched series are less informative; Online Appendix Table A.4 reports them together with the within-year alternatives.

Entry conditions and first employment. Figure 1 establishes the institutional first link. Regular first employment and the national job-openings ratio fall together through the ice-age cohorts and recover only partially afterward. A one-unit improvement in the national ratio raises regular first employment by 7.4 percentage points using reported graduation and by 12.1 points using predicted graduation with a quadratic cohort control (Table 1). The 0.92 peak-to-trough movement in the ratio therefore corresponds to roughly 7–11 percentage points of regular first employment. I use this evidence to show that the ratio marks a consequential entry environment, rather than as an instrument for a binary first job: entry conditions can operate through careers, credit access, beliefs, and family formation.

Figure 1. Entry-market tightness and regular first employment



Notes: The upper series is the national effective job-openings-to-applicants ratio. The lower series is the three-year moving average of the share entering a regular first job. Shading marks predicted graduation from 1993 through 2005. The first-employment series uses JPSC entry modules for 3,783 women.

2.2 The JPSC sample

The JPSC began in 1993 with 1,500 women aged 24–34 and added refreshment samples in 1997, 2003, 2008, and 2013 (Panel Data Research Center at Keio University, 2023). I use waves 1–29, through 2021. The resulting panel contains 4,120 women and 53,983 person-waves between ages 24 and 62. Retrospective entry modules record graduation and first-job characteristics. Saving-designation outcomes begin in wave 6.

2.3 Saving amounts, purposes, and validation

Married respondents report total household saving in September. The measure includes insurance-premium payments and is divided into amounts designated as family-common, for the wife, for the husband, for children, and for others (Q294A–F). I use amounts in thousands of yen and retain zero saving. Amount results therefore do not condition on positive saving. Share results apply to married observations with positive reported and component-total saving.

The amount sample requires Q294A–F—the reported total and all five components—to be observed and nonnegative and contains 34,738 person-waves for 2,877 women. The

Table 1. Entry conditions and regular first employment

	(1)	Regular first job		(4)
		(2)	(3)	
National ratio, reported graduation	0.074 (0.037)			
National ratio, predicted graduation		0.121 (0.041)		
Employment Ice Age indicator			-0.129 (0.025)	
Prefecture ratio, reported graduation				0.169 (0.083)
Clustering unit	Grad. year	Pred. grad. year	Grad. year	Prefecture
Observations	3,783	3,783	3,783	843
Within adjusted R ²	0.001	0.007	0.008	0.003
Survey-cohort fixed effects	Yes	Yes	Yes	No
Education fixed effects	Yes	Yes	Yes	Yes
Prefecture fixed effects	No	No	Yes	Yes
Graduation-year fixed effects	No	No	No	Yes

Notes: Each column reports a linear probability model for regular first employment. Column 1 uses the national ratio at reported graduation; column 2 uses the national ratio at predicted graduation and controls for age and a quadratic in predicted graduation year; column 3 uses an indicator for reported graduation from 1993 through 2005; column 4 uses the prefecture ratio at reported graduation among never-movers. Standard errors are in parentheses.

Table 2. The sample by predicted graduation window

Graduation window	1974–86	1987–92	1993–98	1999–2005	2006–13
		Bubble	Ice I	Ice II	Post
Women	1,173	782	795	851	519
Person-waves	21,046	11,750	9,507	8,079	3,601
Regular first job	0.88	0.87	0.75	0.65	0.74
Married, share of waves	0.79	0.70	0.63	0.56	0.46
Median financial wealth, 10,000 yen	200	200	130	120	150
Wife-designated share of saving	0.14	0.14	0.11	0.12	0.11

Notes: JPSC waves 1–29, ages 24–62. Wealth is household deposits plus securities, or the respondent's holdings when single. The wife-designated share is defined for married observations with positive September saving. Later cohorts are observed at younger ages; regressions include age and wave fixed effects.

share sample additionally requires positive reported and component-total saving; it contains 31,625 person-waves for 2,794 women. The reported total equals the component sum exactly in 98.53 percent of amount observations and 98.62 percent of share observations. I normalize each share by the sum of the five observed components, so the shares add exactly to one. Forty-seven rows report positive total saving but zero components, while 30 report the reverse; the two consistency conditions remove both cases from the share sample.

The wording is designation, not title. The JPSC uses the explicit term for name or title in separate financial-asset, property, and credit-card questions. Table 4 uses those items to assess what designation tracks. The validation regressions are associational: they include age, wave, and education effects but do not use entry conditions as an instrument.

3 Empirical framework

3.1 Accounting for saving purposes

Let September household saving be

$$S_{it} = F_{it} + W_{it} + H_{it} + K_{it} + O_{it}, \quad (1)$$

where the components are family-common, wife-, husband-, child-, and other-designated amounts. An adverse entry condition can change desired total saving through permanent-income risk, employment insecurity, credit constraints, or experience-based beliefs. It can separately change how the household labels that flow.

For the main comparison, define non-spouse-designated saving as $N = F + K + O$ and spouse-designated saving as $P = W + H$, so $S = N + P$. I also define the allocation contrast $D = N - P$. A negative coefficient on D with respect to entry tightness means that adverse entry is associated with a larger expansion of non-spouse than spouse-designated saving. This partition is exhaustive but semantic: “other” need not benefit the family, and spouse designation need not imply legal title. Its advantage is accounting clarity and a direct test of whether most of the amount response occurs outside the two spouse-specific categories.

The decomposition clarifies what a share can establish. For the wife-designated share,

$$\frac{\partial(W/S)}{\partial R} = \frac{1}{S} \frac{\partial W}{\partial R} - \frac{W}{S^2} \frac{\partial S}{\partial R}, \quad (2)$$

where higher R denotes a tighter entry market. A positive share response can reflect a rising wife amount, a falling total around a fixed wife amount, or both. The same identity applies to the combined spouse amount, $W + H$. The amount system must therefore precede any interpretation of the shares.

The results are organized around three empirical statements. First, $\partial S / \partial R < 0$ together with fewer durable purchases and more borrowing distress after adverse entry would be consistent with a defensive financial posture. Second, the amount contrast $D = N - P$ tests whether most of the estimated response lies outside the two spouse categories. Third, the wife–husband split, $W / (W + H)$, distinguishes a differential response between spouses from a common movement of both spouse categories, conditional on positive spouse-designated

saving. These are accounting implications and mechanism diagnostics, not a structural model of household bargaining.

3.2 National cohort design

For outcome y_{it} , the baseline is

$$y_{it} = \beta R_{g(i)} + \alpha_{a(i,t)} + \tau_t + \gamma_{e(i)} + \varepsilon_{it}, \quad (3)$$

where $R_{g(i)}$ is the national ratio at predicted graduation, and α , τ , and γ are age, survey-wave, and education effects. The treatment varies across 39 graduation years. Age and wave effects mechanically absorb a linear cohort trend; the amount estimates are stable under quadratic and cubic cohort trends, while the wife share attenuates modestly (Online Appendix Table A.1). Standard errors cluster on predicted graduation year.

The identifying assumption is that, conditional on these controls, nonlinear cohort movements in the outcome are unrelated to the nonlinear path of the ratio. This assumption is stronger than in region-by-cohort designs with graduation-year effects. The national estimate is consequently best viewed as a reduced form whose causal interpretation depends on cohort comparability.

I report several inferential views rather than choose the smallest result. Graduation-year clustering addresses dependence within the 39 treatment cohorts but treats adjacent cohorts as independent. Exact circular rotations preserve the ordering of the treatment series but require rotational exchangeability; the 39-element reference set includes the observed assignment. Cohort-score HAC permits serial correlation in the exact weighted regression scores. None is an actual randomization design.

3.3 Weighting, selection, and within-year designs

The preferred specification weights each woman's eligible observations by the inverse of her number of observations. It preserves age and wave effects while giving every woman total weight one. Person-wave weighting is reported as a sensitivity check because it gives long-tenure respondents more influence. I also examine family-state controls and potential-experience profiles.

Share outcomes apply to realized married, positive-saving observations. Entry conditions do not precisely predict current marriage or marriage by age 35, and the confidence intervals are wide. Within the married amount sample, a one-unit increase in the ratio predicts a 1.5 percentage-point increase in the probability of any component saving (s.e. 1.5 points) and a 1.6-point increase in share-sample eligibility (s.e. 1.5 points). Amounts including zeros are therefore the cleaner primary outcome; share estimates describe allocation within realized

saving households.

Two diagnostics absorb national cohort effects. The prefecture design uses never-movers, assigns the current prefecture’s ratio at predicted graduation, and includes graduation-year effects; its demanding form also includes prefecture effects. A second design uses education-tier-specific treatment and graduation-year effects. Both have limited residual variation and are reported as diagnostics rather than alternative headline designs.

4 Entry conditions and household saving

4.1 Saving amounts and the allocation contrast

Adverse entry predicts more saving later in life. A one-unit decline in the entry ratio is associated with 9.89 thousand yen more monthly saving, relative to an equal-person-weighted mean of 68.76 thousand yen (Panel A of Table 3). The observed 0.48 decline from late-bubble to trough cohorts therefore implies 4.75 thousand yen more saving, or 6.9 percent of the mean. The total coefficient is precise under cohort clustering and score-HAC inference, although five of 39 circular shifts are at least as large in absolute value.

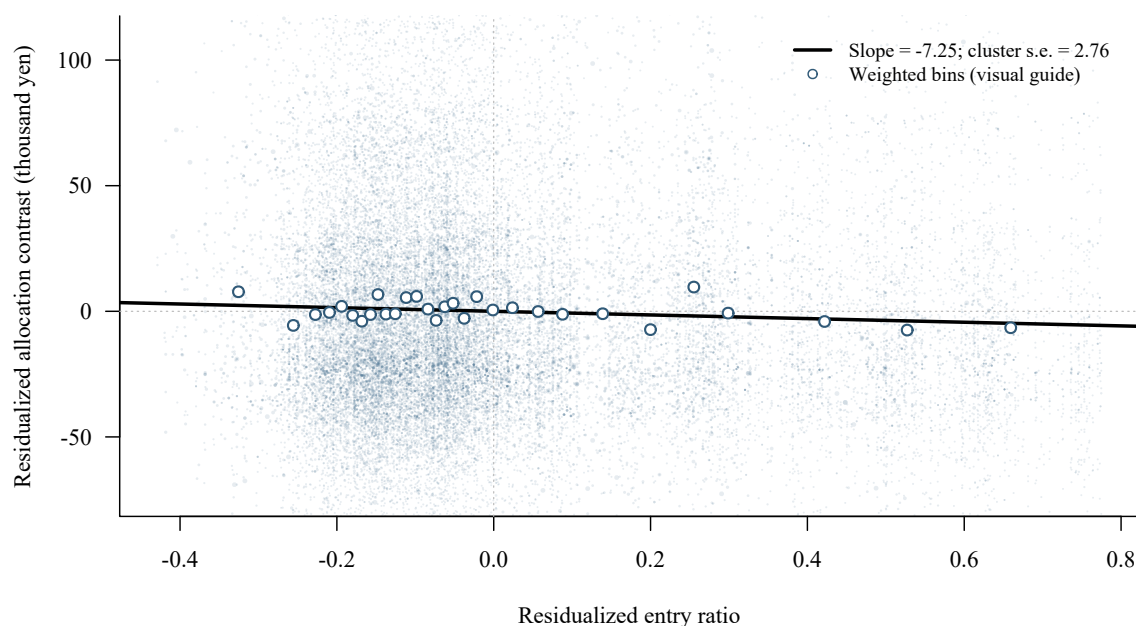
The allocation contrast locates the response more sharply. A one-unit improvement in entry conditions predicts 8.57 thousand yen less non-spouse-designated saving—family-common, child, and other—but only 1.32 thousand yen less spouse-designated saving. The direct difference, $N - P$, is -7.25 thousand yen (cluster s.e. 2.76; score-HAC s.e. 3.19). It is the most extreme of the 39 circular coefficient rotations ($p = 1/39$), while the studentized comparison is weaker ($p = 0.077$). Family-common saving accounts for most of the difference; individual-component estimates appear in Online Appendix Table A.10. At the late-bubble-to-trough movement, roughly 4.11 thousand of the 4.75 thousand yen response—87 percent—is non-spouse-designated.

Figure 2 visualizes the exact weighted partial regression behind the allocation contrast. Both $D = N - P$ and the entry ratio are residualized on the same age, survey-wave, and education effects. The fitted slope is -7.25 , exactly reproducing the coefficient in Table 3; the displayed bins summarize the underlying person-wave variation. The contrast remains negative in all 39 leave-one-cohort regressions and is unchanged when both endpoint cohorts are removed.

Table 3. Entry conditions and household saving purposes

Outcome	Mean	$\hat{\beta}$	Cluster s.e.	Score-HAC(5) s.e.	Rotation p	Women
<i>Panel A. Monthly amounts, zeros retained (thousand yen)</i>						
Five-component total	68.76	-9.89	3.18	3.90	0.128	2,877
Non-spouse-designated amount (N)	49.40	-8.57	2.48	3.25	0.051	2,877
Spouse-designated amount (P)	19.36	-1.32	1.64	1.46	0.615	2,877
Allocation contrast ($N - P$)	30.04	-7.25	2.76	3.19	0.026	2,877
<i>Panel B. Shares among positive-saving observations</i>						
Non-spouse-designated share	0.714	-0.036	0.018	0.017	0.051	2,794
Spouse-designated share	0.286	0.036	0.018	0.017	0.051	2,794
Wife-designated share	0.120	0.022	0.009	0.007	0.154	2,794
Wife share within P	0.425	-0.005	0.015	0.013	0.744	2,368

Notes: The treatment is the national job-openings-to-applicants ratio at predicted graduation. Regressions include age, survey-wave, and education fixed effects and give every woman total weight one. Amounts retain zero saving; shares require positive reported and component-total saving; the final row also requires $P > 0$. N is family-common plus child plus other saving, and P is wife- plus husband-designated saving. Cluster standard errors group by 39 graduation cohorts; score-HAC uses five Bartlett lags. Rotation p -values compare absolute coefficients over all 39 circular shifts. For $N - P$, the studentized rotation gives $p = 0.077$.

Figure 2. Entry conditions and the allocation of household saving

Notes: The horizontal axis residualizes the national entry ratio on age, survey-wave, and education fixed effects; the vertical axis residualizes $D = N - P$ on the same effects. Light blue points are person-waves within the fifth–95th percentile display window, and open circles are weighted bins. The fitted line uses every observation and reproduces the equal-person-weighted fixed-effect slope of -7.25 .

Supporting household margins. In separate national samples, adverse entry predicts fewer durable purchases and more discouraged borrowing alongside more saving (Online Appendix Table A.2). This combination is consistent with a defensive financial posture. Wealth ranks, homeownership, securities participation, and the wife’s individually held stocks show no precise response, so the annual flows do not by themselves establish a long-run wealth effect.

Distributional robustness. The non-spouse coefficient remains negative under 99th- and 95th-percentile winsorization, exact reported-total reconciliation, a common age-30–45 window, and exclusions of the top 1 percent of observations or women (Online Appendix Table A.7). Total saving is more sensitive to the upper tail. A two-part description points to the intensive margin: entry tightness barely predicts any positive component saving, while the amount coefficients remain negative conditional on positive saving (Online Appendix Table A.6).

4.2 From amounts to shares

Panel B reports the corresponding share results. Better entry conditions raise the wife-designated share by 2.15 points and the combined spouse-designated share by 3.60 points. The exact non-spouse share falls by the same amount because the five normalized shares add to one. Online Appendix Table A.10 reports all five individual shares.

Equation (2) explains the pattern. Better entry conditions reduce total and non-spouse saving, while the two spouse amounts have smaller estimated responses. Spouse-designated amounts consequently occupy larger shares of a smaller total. In the adverse-entry direction, non-spouse saving expands more than spouse-designated saving, causing both spouse shares to fall. Conditional on positive spouse-designated saving, the wife–husband split has a coefficient of -0.005 (cluster s.e. 0.015; 95 percent interval approximately $[-0.034, 0.024]$; score-HAC $p = 0.705$; rotation $p = 0.744$). The estimates therefore do not establish a transfer between spouses or a change in a sharing rule; their interval permits moderate differential responses.

Persistence-aware inference is weaker for the shares than for the direct amount contrast. The wife-share coefficient is precise under score-HAC inference but not unusual among circular shifts; the non-spouse share is more extreme. Because a circular-shift maximum statistic depends on which adding-up share is omitted, I use the share pattern to interpret the accounting decomposition rather than as a separate headline result.

4.3 Interpreting the designation measure

Table 4 provides construct-validity evidence for the survey label without converting it into legal ownership. The wife-designated share correlates 0.18 with her share of individually reported financial assets, and a one-point higher designation share predicts a 0.23-point higher asset share conditional on age, wave, and education. In flow-to-stock regressions, an additional thousand yen of wife-designated September saving predicts 0.30 units of next-year growth in her individually reported assets, compared with 0.09 for family-common saving and an imprecise -0.01 for husband-designated saving. The presence of any wife-designated saving also predicts any individually held financial asset and a credit card in her name.

These are associational validation results. They show that respondents use the categories meaningfully. They do not establish legal title for Q294, and the entry-treatment estimate for the wife’s static individual asset stock is imprecise. The paper therefore describes purpose and attribution, not ownership or welfare.

Table 4. Saving designations and individually reported assets

Outcome and predictor	Coefficient	Standard error	Observations
Wife asset share $\leftarrow$ wife-designated share	0.226	0.040	24,888
Growth in wife’s assets $\leftarrow$ wife amount	0.300	0.118	29,415
Growth in wife’s assets $\leftarrow$ common amount	0.094	0.040	29,415
Growth in wife’s assets $\leftarrow$ husband amount	-0.012	0.072	29,415
Any individual financial asset $\leftarrow$ any wife designation	0.160	0.011	34,586
Own-name credit card $\leftarrow$ any wife designation	0.023	0.008	21,240

Notes: Associational validation regressions, not treatment effects. Models include age, survey-wave, and education fixed effects. Asset growth is the change from the current to the next wave. Amounts are thousand yen in September; stock changes are in 10,000 yen. Standard errors cluster on the respondent. Q294 includes saving and insurance-premium payments and records designation, not title.

5 Robustness and scope

5.1 Inference with a persistent national exposure

The regressions contain tens of thousands of person-waves, but the national treatment varies across 39 graduation cohorts. Table 3 therefore reports three inferential views. Graduation-year clustering allows arbitrary dependence within cohorts. Score-HAC aggregates the exact weighted regression scores by ordered cohort and allows serial correlation across adjacent cohorts. Circular shifts preserve the treatment path and compare the observed coefficient with all 38 rotations; they are dependence-preserving placebos under rotational exchangeability, rather than randomization inference.

These procedures establish a clear hierarchy. The direct $N - P$ amount contrast is

precise under clustering and score-HAC and is the most extreme circular coefficient rotation, although the studentized rotation is weaker. Total saving and the wife share are precise under the first two procedures but less unusual under coefficient rotations. Joint score-HAC tests reject a zero amount system, whereas the corresponding circular-shift maximum statistic does not. The best-supported result is therefore where the estimated amount response occurs—across the non-spouse and spouse aggregates—rather than the response of any individual share.

5.2 Alternative exposures and sample scope

Spouse cohort and timing. Adding the husband’s graduation-year ratio leaves the woman’s own-ratio estimate negative for non-spouse saving; the own-minus-husband contrast is distinguishable for the amount but not for the wife share. A joint model with the ratio five years after graduation similarly distinguishes the dates for the non-spouse amount, while both regressors remain transformations of one national series. These exercises sharpen the timing interpretation without eliminating nonlinear cohort confounding (Online Appendix Table A.3).

Within-year designs. Prefecture and education-tier designs absorb national graduation-year effects but retain little aligned identifying variation. In the never-mover sample, the first stage is near zero and the local amount system differs from the national one. The education-tier design retains about 7 percent of the treatment variance after fixed effects and does not reproduce the allocation contrast. These estimates are useful boundaries rather than independent confirmation (Online Appendix Tables A.4–A.5). Stronger identification requires graduation geography or an entrant-specific demand shock with a first stage in the same outcome sample.

Weighting and family state. Equal-person weights prevent long-tenure respondents from dominating the estimates. Person-wave estimates are larger in magnitude, while adding child-count and observed-marriage-duration effects leaves the allocation contrast negative. Childless and parent subsamples also produce negative contrasts, but with wide intervals. Online Appendix Table A.8 reports these diagnostics together with potential-experience profiles.

Selection and horizon. Amounts retain reported zeros but remain conditional on realized marriage; shares additionally condition on positive saving. Entry conditions weakly predict these selection margins, and a Lee-style bound for the binary ice-age wife-share comparison spans zero (Online Appendix Table A.6). The allocation contrast is negative across four

potential-experience bins, but cohort support changes across them. The estimand is therefore a pooled later-life association among observed married households, rather than a constant multi-decade effect.

5.3 Mechanisms and external validity

The national pattern is consistent with purpose-specific self-insurance. Adverse entry predicts more saving, fewer durable purchases, greater discouraged borrowing, and a larger response in family-common, child, and other categories. Employment insecurity or restricted credit could raise the value of a common buffer and planned family expenditure. The survey does not distinguish that mechanism from insurance-premium responses, permanent-income effects, or cohort differences in how financial products are labeled.

The amount decomposition also disciplines the intrahousehold interpretation. Both spouse shares move together, while the wife–husband split and the wife’s asset-stock treatment effect are centered with substantial uncertainty. The findings therefore describe purpose and attribution, rather than a transfer between spouses, a welfare ranking, or a change in bargaining power.

Japan combines synchronized graduate recruitment, persistent regular/nonregular segmentation, and explicit household-money conventions. A U.S. SIPP exercise using coarser national unemployment exposure and individual asset allocation yields estimates near zero (Online Appendix Table A.9). Korea’s spouse-specific pension data offer a closer setting (Yang et al., 2025), although a comparable entry design has not yet been implemented.

6 Conclusion

This paper shows that labor-market conditions at school leaving predict not only how much households later save, but what that saving is for. Among married Japanese women with complete saving reports, adverse entry is associated with greater monthly saving, concentrated in family-common, child, and other categories rather than wife- or husband-designated flows. Fewer durable purchases and greater discouraged borrowing accompany the response, a pattern consistent with a defensive financial posture.

The purpose decomposition changes the economic interpretation. Spouse-designated shares fall after adverse entry because non-spouse saving expands more strongly, while the wife–husband split does not move precisely. The evidence therefore concerns the allocation of new saving across purposes, rather than a transfer between spouses, a change in bargaining power, or a demonstrated reduction in the wife’s individually held wealth.

The remaining limitation is identification from one persistent national series across 39 cohorts. The allocation contrast is strongest under cohort clustering and score-HAC inference and weaker when treatment rotations are studentized; within-year designs do not independently confirm it. Stronger evidence will require graduation geography or entrant-specific demand shocks with cohort effects and an aligned first stage. Linking saving designations to their eventual use would then distinguish effective household insurance from constrained consumption or relabeling.

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